

WHEN RAM SINGHAL, a 68-year-old retiree, received the renewal letter for his health insurance policy, he didn't think much of it. But on reading it, he found that his premiums had gone up significantly. "My premiums have jumped by 30 per cent. I am exploring options on how to manage them," he says.

Health insurance premiums have risen sharply over the past few years, with the rise in health insurance claims. Per the latest annual report of the Insurance Regulatory and Development Authority of India, there is an increase in incurred claims ratio (the proportion of claims paid by health insurers against total premiums received) of health business—from 94 per cent in 2020-21 to 109 per cent in 2021-22.

84 | "Health insurance claims have risen in the past few years. Post Covid-19, we have seen a jump of around 10-30 per cent across age groups. Senior citizens have been the hardest hit as they are already paying high premiums and have no regular income," says Siddharth Singhal, Business Head of Health Insurance at Policybazaar.com. Premiums for senior citizens are

generally higher because a large part of people in this segment typically suffer from some form of pre-existing disease. This is also why some insurers are hesitant to offer seniors health insurance policies.

"The health risks for seniors are typically higher, which means the utilisation of a health plan would typically be more due to any prevailing chronic illnesses or pre-existing conditions," says Vivek Chaturvedi, Chief Marketing Officer and Head of Direct Sales at Go Digit General Insurance. Insurers typically underwrite this risk by pricing the premium appropriately, with the premiums for someone in his sixties being higher by around 2.5-4 times versus someone in his thirties, depending on the plan and the insurer, he says.

Senior citizens also complain about their policy applications being rejected or delayed. "Health insurance policies for seniors are not generally rejected, but they may be subjected to some pre-policy medical check-ups," says Tapan Singhel, MD & CEO of Bajaj Allianz General Insurance. Following the check-ups, such insurance proposals are accepted as per the standard terms and conditions of the policy.

One can also provide the details of their past medical history, includ-

ing consultation notes, prescriptions and related investigation reports to the insurer to help provide an understanding of their current health status. Further, the evolution of new norms and active use of tech like Tele Medical Evaluation Report or Tele MER, has made the process more convenient. "Over a period of time, insurers have also relaxed the age norms for making pre-medical tests compulsory," says Singhel.

Prasun Sikdar, MD & CEO of ManipalCigna Health Insurance, says customers can look out for such policies and get themselves insured as "there are also insurers who have increased their risk appetite and expanded the threshold to accept [applications from] senior citizens with medical issues". The regulator has also introduced measures to ensure a hassle-free experience for policyholders. For instance, if any insurer rejects an application, the reason for rejection has to be provided in writing.

Besides these, here are a few effective ways to avail health cover and reduce premiums:

Co-payment: Co-payment policies are those in which a percentage of the cost of healthcare services is borne by the policyholder, while the rest is paid by the insurer in the event of a claim. In such policies, the policyholder's share can range from 10-50 per cent. While this reduces the premium outgo, it may cost you a hefty amount in case of hospitalisation. But if you're thinking of discontinuing a policy because of high premiums, a better option is co-payment, as it can reduce your premiums by 30-40 per cent, depending on the percentage of the bill you decide to pay from your own pocket (See table *Senior Citizens' Health Plans*).

"Senior citizens require additional medical care, and hence their hospital stays might be comparatively longer. Hence when opting for a health insurance policy, it is essential to opt for one that provides



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